

Contestant Number: _____

Time: _____

Rank: _____



FEDERAL INCOME TAX ACCOUNTING (140)

STATE – 2020

Multiple Choice & Short Answer Section:

Multiple Choice (20 @ 2 points each) _____ (40 points)

Production Portion:

Problem 1: Schedule A (19 @ 3 points each) _____ (48 points)

Problem 2: 1040 (19 @ 3 points each) _____ (57 points)

Problem 3: Tax Liability (10 @ 2 points each) _____ (20 points)

TOTAL POINTS _____ **(165 points)**

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than ten (10) minutes orientation

No more than 90 minutes testing time

No more than ten (10) minutes wrap-up

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General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts. The multiple choice and short answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

This test uses 2018 IRS tax law regulations for completion.

Part 1: Multiple Choice: 20 questions, 2 points each for a total of 40 points

Choose the best answer or statement for each of the following questions.

1. If you have more than \$1,500 of dividend income, a taxpayer must complete a _____?
 - a. Schedule B For Form 1040
 - b. Form 2441 For Form 1040
 - c. Schedule D and Form 8949 Form 1040
 - d. Both a and c
2. Which of following are deductions for AGI?
 - a. American Opportunity Credit
 - b. Earned Income Credit
 - c. Child and Dependent Care
 - d. Student Loan Interest
3. What statement is True?
 - a. A taxpayer can claim parents as dependents only if they live with the taxpayer
 - b. Health Savings Account deductions are deductions for AGI
 - c. There is no Earned Income Credit for single taxpayers without dependents
 - d. Long Term Capital Gains are taxed at the same rate as Short Term Capital Gains
4. For a head of household taxpayer with 3 qualifying children would receive how much for the Earned Income Credit if the taxpayer has \$15,688 of earned income?
 - a. \$3,461
 - b. \$5,716
 - c. \$6,431
 - d. \$6,341
5. If a taxpayer is over 65 years old, blind, and single, what is the additional amount they received on their standard deduction?
 - a. \$1,600
 - b. \$3,200
 - c. \$1,300
 - d. \$2,600
6. A sole proprietor taxpayer put a 5 year piece of equipment into service on September 29, 2018. Using MACRS DDB, how much depreciation will this taxpayer take in 2019 on this piece of equipment assuming no section 179 was taken and the equipment cost was 11,100 with a salvage value of 1,100?
 - a. \$3,200
 - b. \$2,000
 - c. \$1,143
 - d. \$1,586

7. If two joint filing, healthy 33 year old married taxpayers have 3 children that live with them all year long and qualify as exemptions, how much will they take for the exemption deduction in 2018?
 - a. \$16,000
 - b. \$0
 - c. \$12,000
 - d. \$16,400
8. A sole proprietor has a commercial building she put in service in October of 2012. The building cost is \$125,000 not including the land which is valued at \$15,000. How much depreciation will she take on this asset in 2018? *Round to the nearest dollar.*
 - a. \$2,820
 - b. \$3,205
 - c. \$669
 - d. \$589
9. Which of the following paid in the tax-year taxes would not be fully deducted on Form 1040 Schedule C?
 - a. Personal Property Taxes for the business
 - b. Real Estate Taxes for the business
 - c. Federal Withholding Taxes from W-2
 - d. Mortgage interest on building for business
10. If a taxpayer owns a duplex with 2 units and the Mortgage Interest paid for the year is \$9,000. Unit #1 is rented all year and has 1000 square feet and Unit #2 is rented 12 months and has 500 square feet; how much should be written off to each unit?
 - a. \$375 per month rented for each unit
 - b. 50% to Unit #1, 50% to Unit #2
 - c. \$5,000 for #1,\$4,000 for #2
 - d. None of the above is correct
11. Which of the following would prevent you from using form 2441?
 - a. You have dependents under 13 years old
 - b. You are claiming the education credit
 - c. Your gross income is \$40,000
 - d. You were reimbursed from your employer for all day care incurred.
12. For form 8863, which is not true?
 - a. You need to attend a qualified higher learning institution
 - b. You can take the American Opportunity Credit for four years
 - c. Line 7 of form 1040 is \$181,000
 - d. Up to 40% is potentially refundable

13. Assuming Donald is a self-employed accountant that has a qualifying home office. His house has a total of 2000 square feet and he uses 200 square feet for his office. If his utilities are \$900, real estate taxes are \$3,000, mortgage interest paid is \$1,500, and food for personal meals cost are \$3,020 for the year. Excluding depreciation, how much will be the allowable deduction for these listed expenses for the home office, assuming he has sufficient enough profit beyond this expense?
- a. \$842
 - b. \$540
 - c. \$5,400
 - d. \$8,420
14. If Laramie is a single taxpayer whom has two children ages 5 and 7, she pays \$8,400 in day care expenses during the year and has AGI of \$93,000 (all is earned income). How much of a deduction will she get for child and, dependent care?
- a. \$8,400
 - b. \$6,000
 - c. \$1,680
 - d. \$1,200
15. Geraldine, married and 42 years old has \$10,500 in qualified medical expense she paid in 2018. If her AGI is \$52,600, how much can she take as a net deduction on Schedule A if she itemizes?
- a. \$0, this is not deductible
 - b. \$6,555
 - c. \$9,450
 - d. \$10,500
16. Patty's husband died on January 3, 2017; what filing status will she use in 2018?
- a. Qualifying Widow(er)
 - b. Single
 - c. Head of Household
 - d. MFJ
17. If a business puts more than 40% of its MACRS depreciable property into service in the 4th quarter of the tax year, the business must use?
- a. MACRS half year convention
 - b. Straight-line depreciation
 - c. MACRS Mid-quarter convention
 - d. No depreciation is allowed

Jeremy has the following insurance policies he pays on a monthly basis. Use the information below to answer questions 18-20 with this information.

Business Liability:

April 1, 2018 – March 31, 2019 = \$4,800 total year premium

April 1, 2019– March 31, 2020 = \$3,600 total year premium

Vehicle Insurance (3 Business Vehicles):

January 1, 2019– December 31, 2020 = \$5,700 total year premium

18. How much was Jeremy's total insurance expense *per month* for January – March 2019?
 - a. \$1,125
 - b. \$875
 - c. \$775
 - d. \$3,525
19. How much was Jeremy's total insurance expense per month for April – December 2019?
 - a. \$1,125
 - b. \$875
 - c. \$775
 - d. \$3,525
20. What percent decrease did he experience per month?
 - a. 114%
 - b. 11.42%
 - c. 1.14%
 - d. 2.05%

Part 2: Form and Schedule Completion

PROBLEM #1 (16 @ 3 points each = 48 points)

Edward Better-Cheddar, a married taxpayer, has the following paid amounts during 2018, his AGI is \$98,600.

Real Estate Taxes Paid \$8,400 (includes special assessment of \$350)
Personal Property Taxes, \$110
Charitable Contributions in cash, \$2,200
State Income Tax Withheld, \$4,800
Real Estate Taxes paid on vacation home owned, \$2,970
Gambling losses \$2,000, he has gambling income of \$1,000
Form 1098 Mortgage Interest on main home \$4,080
Form 1098 Mortgage Interest on home equity loan \$2,700
Charitable Contributions-property gifts, \$230
Qualified medical deductions \$8,170

*Answer the following line questions regarding Edward's Schedule A: **YOU DO NOT NEED TO COMPLETE THE SCHEDULE JUST USE IT TO CALCULATE THE LINE ANSWERS.***

<u>Line #</u>	<u>Amount</u>
Line 1	_____
Line 2	_____
Line 3	_____
Line 4	_____
Line 5a	_____
Line 5b	_____
Line 5c	_____
Line 5d	_____
Line 7	_____
Line 8a	_____
Line 10	_____
Line 11	_____
Line 12	_____
Line 16	_____
Line 16	_____
Line 17	_____

PROBLEM #2 (19 @ 3 points each, 57 total points)

Belle Ringer, Sales Manager, is married with 2 children. Belle and her husband Ded have the following income, deduction, and credit items for 2018. They file MFJ and were not 65 years old or blind. They do not itemize and did not last year.

W-2 Income equals \$73,400
Taxable Interest is \$640
Non-taxable Interest is \$510
Ordinary Dividends (all are qualified) of \$860
Unemployment Compensation is \$3,800
Poll Election income is \$500

Belle is a 1st grade teacher and has educator expenses equal to \$180.

All children live with them all year long and qualify for the child tax credit and they receive the full amount for each.

Federal W-2 withholding is equal to \$4,630 and is the only tax payments they have made.

*Answer the following line questions regarding the Ringer's Form 1040. The form is at the end of this test: **YOU DO NOT NEED TO COMPLETE THE FORM JUST USE IT TO CALCULATE THE LINE ANSWERS.***

<u>Line #</u>	<u>Amount</u>
Line 1	_____
Line 2a	_____
Line 2b	_____
Line 3a	_____
Line 3b	_____
Line 6	_____
Line 7	_____
Line 8	_____
Line 10	_____
Line 11a	_____
Line 11	_____
Line 12a	_____
Line 12	_____
Line 13	_____
Line 15	_____
Line 16	_____
Line 18	_____
Line 19	_____
Line 20a	_____

PROBLEM #3...Tax Look-up (10 @ 2 points each, 20 total points)

For each of the following situations, use the attached tax tables to find the tax liability

Marital Status	Taxable Income	Tax Liability
MFJ	22,860	_____
S	56,520	_____
HOH	38,665	_____
MFS	57,850	_____
QW	48,660	_____

Form 1040		Department of the Treasury—Internal Revenue Service (99)		2018		OMB No. 1545-0074		IRS Use Only—Do not write or staple in this space.	
U.S. Individual Income Tax Return									
Filing status: ☐ Single ☒ Married filing jointly ☐ Married filing separately ☐ Head of household ☐ Qualifying widow(er)									
Your first name and initial Ded				Last name Ringer				Your social security number 2 2 2 2 2 2 2 2 2	
Your standard deduction: ☐ Someone can claim you as a dependent ☐ You were born before January 2, 1954 ☐ You are blind									
If joint return, spouse's first name and initial Belle				Last name Ringer				Spouse's social security number 3 3 3 3 3 3 3 3 3	
Spouse standard deduction: ☐ Someone can claim your spouse as a dependent ☐ Spouse was born before January 2, 1954 ☐ Full-year health care coverage or exempt (see inst.)									
☐ Spouse is blind ☐ Spouse itemizes on a separate return or you were dual-status alien									
Home address (number and street). If you have a P.O. box, see instructions. 4 Dingaling Drive						Apt. no.		Presidential Election Campaign (see inst.) ☐ You ☐ Spouse	
City, town or post office, state, and ZIP code. If you have a foreign address, attach Schedule 6. Hurting Ears, Wisconsin 54777						If more than four dependents, see inst. and ☒ here ☐			
Dependents (see instructions):									
(1) First name		Last name		(2) Social security number		(3) Relationship to you		(4) ☒ if qualifies for (see inst.): Child tax credit Credit for other dependents	
Hada Ringer				4 4 4 4 4 4 4 4 4		Son		☒ ☐	
Gotta Ringer				5 5 5 5 5 5 5 5 5		Son		☒ ☐	
								☐ ☐	
								☐ ☐	
Sign Here Joint return? See instructions. Keep a copy for your records.									
Your signature				Date		Your occupation		If the IRS sent you an Identity Protection PIN, enter it here (see inst.)	
Spouse's signature. If a joint return, both must sign.				Date		Spouse's occupation		If the IRS sent you an Identity Protection PIN, enter it here (see inst.)	
Paid Preparer Use Only		Preparer's name		Preparer's signature		PTIN		Firm's EIN	
		Firm's name ▶				Phone no.		Check if: ☐ 3rd Party Designee ☐ Self-employed	
		Firm's address ▶							
For Disclosure, Privacy Act, and Paperwork Reduction Act Notice, see separate instructions.									
Cat. No. 11320B						Form 1040 (2018)			

**SCHEDULE A
(Form 1040)**

Department of the Treasury
Internal Revenue Service (99)

Itemized Deductions

► Go to www.irs.gov/ScheduleA for instructions and the latest information.

► Attach to Form 1040.

Caution: If you are claiming a net qualified disaster loss on Form 4684, see the instructions for line 16.

OMB No. 1545-0074

2018

Attachment
Sequence No. **07**

Name(s) shown on Form 1040

Your social security number

Edward Better-Cheddar

111-11-1414

**Medical
and
Dental
Expenses**

Caution: Do not include expenses reimbursed or paid by others.

- 1 Medical and dental expenses (see instructions) **1**
- 2 Enter amount from Form 1040, line 7 **2**
- 3 Multiply line 2 by 7.5% (0.075) **3**
- 4 Subtract line 3 from line 1. If line 3 is more than line 1, enter -0- **4**

**Taxes You
Paid**

- 5 State and local taxes.
a State and local income taxes or general sales taxes. You may include either income taxes or general sales taxes on line 5a, but not both. If you elect to include general sales taxes instead of income taxes, check this box ☐ **5a**
- b State and local real estate taxes (see instructions) **5b**
- c State and local personal property taxes **5c**
- d Add lines 5a through 5c **5d**
- e Enter the smaller of line 5d or \$10,000 (\$5,000 if married filing separately) **5e**
- 6 Other taxes. List type and amount ► **6**
- 7 Add lines 5e and 6 **7**

**Interest You
Paid**

Caution: Your mortgage interest deduction may be limited (see instructions).

- 8 Home mortgage interest and points. If you didn't use all of your home mortgage loan(s) to buy, build, or improve your home, see instructions and check this box ☐
a Home mortgage interest and points reported to you on Form 1098 **8a**
- b Home mortgage interest not reported to you on Form 1098. If paid to the person from whom you bought the home, see instructions and show that person's name, identifying no., and address ► **8b**
- c Points not reported to you on Form 1098. See instructions for special rules **8c**
- d Reserved **8d**
- e Add lines 8a through 8c **8e**
- 9 Investment interest. Attach Form 4952 if required. See instructions **9**
- 10 Add lines 8e and 9 **10**

**Gifts to
Charity**

If you made a gift and got a benefit for it, see instructions.

- 11 Gifts by cash or check. If you made any gift of \$250 or more, see instructions **11**
- 12 Other than by cash or check. If any gift of \$250 or more, see instructions. You **must** attach Form 8283 if over \$500 **12**
- 13 Carryover from prior year **13**
- 14 Add lines 11 through 13 **14**

**Casualty and
Theft Losses**

- 15 Casualty and theft loss(es) from a federally declared disaster (other than net qualified disaster losses). Attach Form 4684 and enter the amount from line 18 of that form. See instructions **15**

**Other
Itemized
Deductions**

- 16 Other—from list in instructions. List type and amount ► **16**

**Total
Itemized
Deductions**

- 17 Add the amounts in the far right column for lines 4 through 16. Also, enter this amount on Form 1040, line 8 **17**
- 18 If you elect to itemize deductions even though they are less than your standard deduction, check here ☐

For Paperwork Reduction Act Notice, see the Instructions for Form 1040.

Cat. No. 17145C

Schedule A (Form 1040) 2018

SCHEDULE 1
(Form 1040)

Department of the Treasury
Internal Revenue Service

Additional Income and Adjustments to Income

► Attach to Form 1040.
► Go to www.irs.gov/Form1040 for instructions and the latest information.

OMB No. 1545-0074

2018
Attachment
Sequence No. **01**

Name(s) shown on Form 1040

Your social security number

Ded and Belle Ringer

111-11-1111

Additional Income	1-9b	Reserved	1-9b		
	10	Taxable refunds, credits, or offsets of state and local income taxes	10		
	11	Alimony received	11		
	12	Business income or (loss). Attach Schedule C or C-EZ	12		
	13	Capital gain or (loss). Attach Schedule D if required. If not required, check here ► ☐	13		
	14	Other gains or (losses). Attach Form 4797	14		
	15a	Reserved	15b		
	16a	Reserved	16b		
	17	Rental real estate, royalties, partnerships, S corporations, trusts, etc. Attach Schedule E	17		
	18	Farm income or (loss). Attach Schedule F	18		
	19	Unemployment compensation	19		
	20a	Reserved	20b		
	21	Other income. List type and amount ►	21		
	22	Combine the amounts in the far right column. If you don't have any adjustments to income, enter here and include on Form 1040, line 6. Otherwise, go to line 23	22		
Adjustments to Income	23	Educator expenses	23		
	24	Certain business expenses of reservists, performing artists, and fee-basis government officials. Attach Form 2106	24		
	25	Health savings account deduction. Attach Form 8889	25		
	26	Moving expenses for members of the Armed Forces. Attach Form 3903	26		
	27	Deductible part of self-employment tax. Attach Schedule SE	27		
	28	Self-employed SEP, SIMPLE, and qualified plans	28		
	29	Self-employed health insurance deduction	29		
	30	Penalty on early withdrawal of savings	30		
	31a	Alimony paid b Recipient's SSN ►	31a		
	32	IRA deduction	32		
	33	Student loan interest deduction	33		
	34	Reserved	34		
	35	Reserved	35		
	36	Add lines 23 through 35	36		

For Paperwork Reduction Act Notice, see your tax return instructions.

Cat. No. 71479F

Schedule 1 (Form 1040) 2018